

The First Test Since February

A weekend headline gave a five-month-old position its first dated, two-sided challenge, and the negotiation starts this afternoon.

THE READING

WTI trades \$81.07, down 4.25%. Trump cancelled a planned strike on Iran on Saturday evening and said the perimeters of a deal had been agreed, including the reopening of the Strait of Hormuz. Crude opened near minus five and a half per cent, recovered to minus 4.05% at 06:59, and was falling again at 07:15. OPEC+ added 188,000 barrels a day for September — the sixth consecutive increase, and the one that completes the unwind of the 1.65m b/d cut agreed in 2023.

Equities took almost none of it. ES is +0.34%, NQ +0.54%, both fading from the reopen. The long bond rallied 0.49% against a ten-year that closed Friday at 4.745% and a thirty-year at 5.28%, a nineteen-year high. Relief was priced in one market and nowhere else.

WHAT WISDOM WOULD SAY

Karl Popper argued in *Conjectures and Refutations* that a theory earns its standing by what it forbids. A claim compatible with every outcome tells you nothing, however often events appear to confirm it. What matters is whether it runs a risk.

The Quad 3 stagflation case forbids something specific. Its inflation leg runs through a closed Strait and a crude price that rose more than twenty per cent in July. Long energy, long TIPS, short duration — XLE, CRAK, UGA and CERY were all added inside the last six sessions — is one input expressed four ways, and it fails if oil falls and stays down.

Since late February nothing could have refuted it. The Strait has been impassable since 8 July, and the book was paid for being right about that. Being paid is not the same as being tested. This afternoon the position acquires what it has not had: a dated, two-sided way of turning out wrong.

THE RISK IT JUSTIFIES

Not a reversal. Iran has agreed to nothing — Tehran's foreign ministry said on Sunday that the new shipping understanding with Oman is unrelated to the reopening of the Strait, and the June memorandum broke inside five weeks. This is a four per cent move on an announcement by one side of a negotiation that has not begun.

What it justifies is size. Four energy expressions and a long dollar are not five positions but one, and the dollar is already at 99.65, through the 99.76 floor it was bought above on Thursday — by the published rule, minimum size. Crude at \$81.07 sits 2.2% above the \$79.27 floor of its band.

What would change the answer: crude back through Friday's \$84.67 settle by the US close, and the weekend was noise. A close under \$79.27 and it was not — and the OPEC+ barrels are the half that never needed Iran's signature.

If the Strait opens, how much of this book was ever a view on inflation?